



2023 UBS Investment Banking Development Challenge

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Executive Summary

After analysing the current environment and CapVest's proposals, UBS recommends BGH submit a revised, dual structure bid of an \$8.20 Scheme and \$8.15 Off-Market Takeover to secure the acquisition of Virtus

01 Current Situation

- BGH and CapVest are in a competitive bidding situation for healthcare company, Virtus Health
- Virtus Health has signed a **binding implementation deed with CapVest**
- The Virtus Board **recommends shareholders vote for the CapVest Scheme** unless a better proposal arises

04 Virtus Valuation

- Using a blended average of the discounted cash flow (DCF), leveraged buyout (LBO), comparable companies and precedent transactions, an implied valuation of **A\$9.32** was obtained

02 CapVest's Latest Offer

- From their **first proposal** which included necessary condition of CapVest's willingness to proceed, **Virtus granted CapVest exclusive due diligence**
- The latest CapVest Proposal was to acquire all of Virtus' shares via a **scheme at A\$8.25** per share and make a simultaneous **off-market takeover** offer of **\$A8.10** per share, conditional of the scheme failing and a 50.1% minimum acceptance

03 BGH's Latest Offer

- BGH's latest Indicative Proposal was to acquire all of Virtus' shares through a **scheme at A\$8.10** per share, with the **condition** that Virtus does not sign an implementation deed with CapVest
- While BGH and Virtus were in the process of facilitating due diligence access, CapVest presented a higher bid

05 Recommended Response

- UBS recommends that BGH submit an **improved, dual structured bid of an A\$8.20 Scheme and A\$8.15 Off-market takeover**
- If Virtus' Board rejects BGH's improved bid, UBS recommends a move to **block the CapVest scheme**
- If a situation arises where BGH can no longer bid for Virtus, UBS recommends BGH votes in favour of CapVest's scheme to maximise returns

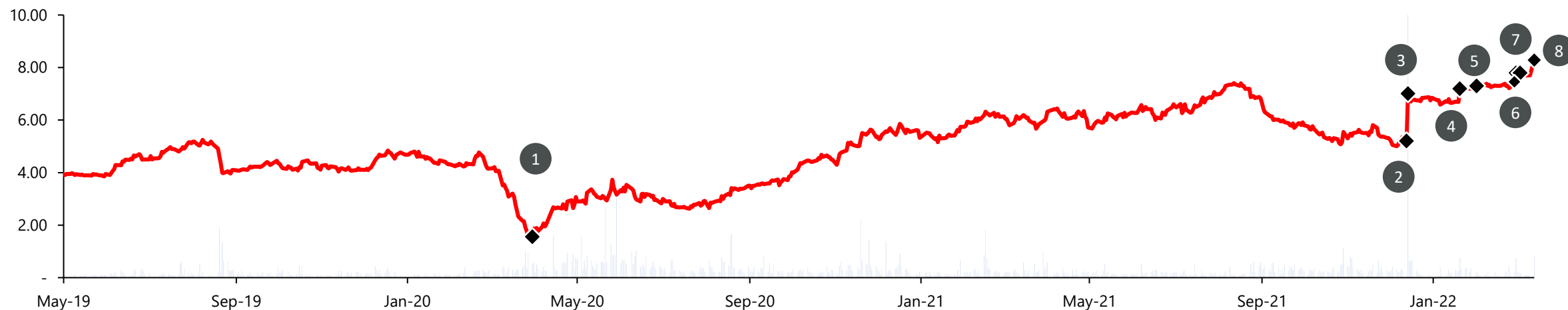
06 Next Steps

- UBS recommends that BGH proceed by:
- **Preparing** relevant **transaction documentation**,
- **Submitting** their **improved offer** for Virtus,
- **Engaging** with Virtus' substantial **shareholders**
- **Prepare** for a CapVest **counteroffer**

Situation Overview

Virtus' share price is currently at an all-time high amidst the ongoing bidding war between BGH and CapVest

Share Price Performance (A\$) - Last 3 years



Commentary

1

VRT temporarily forced to cease operations as elected surgeries were suspended due to COVID-19

3

VRT entered in to a Process Deed with CapVest following their offer via; (i) scheme at **A\$7.60**; and (ii) off-market takeover at **A\$7.50**

5

BGH submits a revised offer (**A\$7.65** scheme) which is followed the next day by a revised offer from CapVest (**A\$7.80** scheme and **A\$7.70** takeover)

7

BGH submits their latest revised offer at **A\$8.10** per share via takeover; a 55% premium to the undisturbed closing price

2

BGH acquired 19.99% stake in VRT at **A\$7.10**; a **36%** premium to the undisturbed close. The next day they submitted a NBIO to acquire 100% of VRT shares via a scheme.

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BGH submitted a successful appeal to the AGTP, who found that VRT's exclusivity agreement with CapVest is unacceptable

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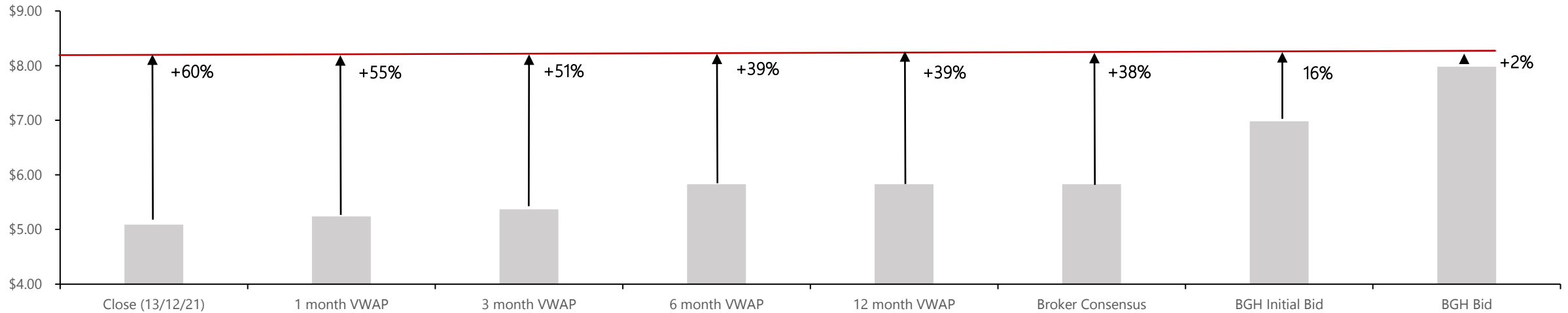
BGH submits another appeal to the AGTP which was unsuccessful after the AGTP concluded no unacceptable circumstances

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VRT enters into binding implementation deed with CapVest following revised offer (**A\$8.25** scheme and **A\$8.10** takeover)

CapVest's Indicative Proposal to Acquire Virtus Health

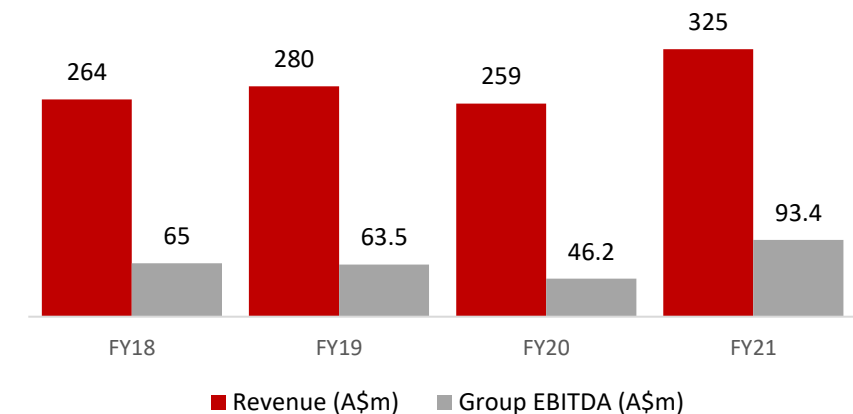
CapVest's \$8.25/share offer means Virtus shareholders will receive A\$8.13/share after the A\$0.12 dividend



Analysis

- With the ARS industry protected by significant regulation, capital requirements, and staff specialisation, VRT is insulated from the threat of new entrants taking market share
- We do not see significant risk to VRT from any upcoming healthcare regulations
- Considering BGH's successful track record in the Healthcare Industry, a likely increase in VRT revenue could demand a higher multiple

VRT Historical Performance



Rationale for the Transaction

Whilst Virtus looks to capitalise on a bidding war, CapVest and BGH offers centre around strategic outlooks

Rationale for Virtus

1 Maximising Shareholder Value

- VRT's share price has been driven up by the bidding war, currently trading at ~c.70% premium to pre-covid prices
- A failure to reach a deal would likely see a drastic fall in the share price

2 Macroeconomic Uncertainty

- With ongoing uncertainty regarding the Delta Variant/Ukraine conflict, the tabled offer provides asymmetric upside by eliminating downside risk and providing an attractive premium

3 Facilitate Overseas Expansion

- In the case that BGH/CapVest acquire a non-controlling stake in VRT, shareholders will benefit from the international scale, operational expertise, and network effects of the two bidders

Rationale for CapVest

1 CapVest has extensively researched the ARS sector

- CapVest stated that they spent 5+ researching the ARS industry to gain a nuanced understanding of the market dynamics and growth drivers, and have thus recognised that VRT is the best acquisition target in

2 Virtus Health is the market leader in Aus

- The opportunity to acquire the leading Australian player in an industry that is set to benefit from favourable demographics and has significant barriers to entry.

3 BGH's offer has drawn out a bid

- It is likely that CapVest had been assessing a potential acquisition of VRT for a significant period of time, before the BGH bid forced their hand.

Rationale for BGH

1 Market Timing

- When BGH made their initial offer VRT was trading at a c.40% discount to their 2021 peak levels, despite their long term operational and intrinsic value not changing

2 Integration Potential

- BGH has a demonstrated history of success in the healthcare industry and there is an opportunity to integrate VRT Health with Healius Primary Care to increase their presence and create a holistic ARS offering

3 Expansion into New Markets

- BGH sees the opportunity to grow VRTs' market share through expansion into new segments and countries, in the absence of inorganic growth opportunities in Australia due to competition concerns.

Assessing the offers - Value

BGH and CapVest's offer similar share prices, but include distinct structures and additional value features

Element	BGH - 10 th Mar 22	CapVest - 14 th Mar 22	Commentary
 Structure	Scheme of arrangement	Simultaneous / dual structure – Scheme of arrangement and Off-market takeover	BGH's appeals to AGTP and VRT's public announcement have tainted friendly nature - BGH may need to introduce dual structure
 Price	A\$8.10 per share	A\$8.25 cash for scheme A\$8.10 cash for off-market takeover	CapVest's scheme more attractive BGH's to use 19.9% stake to block scheme - If successful, value is equal
 Premium to undisturbed (A\$5.21)	Scheme represents a 55.5% premium	- Scheme represents a 58.3% premium Off-market represents a 55.5% premium	As above
 Additional Value Features	Major fertility specialist shareholders may wish to continue exposure to VRT - BGH has proposed cash and scrip alternative to these shareholders	- A fully franked special dividend providing up to A\$0.44/share - Shareholders could release up to A\$0.19/share in franking credits attached Amount payable by CapVest under Scheme or Takeover Offer will be reduced by amount of special dividend	BGH's scrip option is unique, but introduces added complications Tax benefits generated from special dividend and franking credits may allow shareholders to realise more value than a BGH offer at same purchase price

Assessing the offers – Key Terms

Primary non-value factors that Virtus' Board are concerned with are funding, DD, commitments & clauses

	Element	BGH - 10 th Mar 22	CapVest - 14 th Mar 22	Commentary
	Funding	Received highly confident debt financing letters from a number of institutions to support BID	Fully funded (through CapVest Fund V)	- CapVest funding is more secure, but was not at the time of BGH's recent bid BGH's next offer must be fully funded
	Due Diligence	Limited due to CapVest's previous exclusivity	Substantial level undertaken	- BGH has had significantly less time to conduct DD, but is unlikely to be granted additional time to catch up Introduces risk for BGH
	Commitment	Non-binding Indicative Offer (NBIO)	Binding Implementation Deed (BID) + Transaction Implementation Deed (TID)	BGH must increase commitment of next bid as it a key consideration by VRT
	Provisions & Clauses	- Incorporated provisions from previous CapVest PD, plus: ⁽¹⁾ - No competing discussions - No DD (subject to FID) - Equal access to non-public information - Notification obligation - VRT can't enter agreement with CapVest for 20 business days	- Similar key provisions and clauses between the parties, bar additional BGH clauses (All clauses exclude CapVest unless stated)	- CapVest likely to add BGH clauses regarding dual exclusivity as mutually beneficial and prevents interlopers - BGH's request to block VRT entering agreements with CapVest for 20 business days is highly unlikely to be approved now as CapVest's offer has a faster timeline

Considerations for BGH's Improved Offer

BGH's next offer must show material improvements to more than value alone as other key considerations outlined by the VRT Board currently favour CapVest's outstanding offer

	Element	Recommendation	Rationale	Risks
	Timing	Provide VRT with an updated offer no later than 18th May	VRT's board has made timeline a key consideration	BGH's Investment Committee may not have time to finalise the offer
	Structure	Include dual structure, simultaneous Scheme and Off-market takeover	- Schemes most effective when friendly Friction generated by BGH's appeals to AGTP and potential perception that BGH is restricting VRT shareholders from realising maximum value Off-market creates another path to acquiring VRT	- BGH has not included an Off-market option to date so including it now may signal they don't think they can get a scheme approved - Adds additional complexity to the situation
	Value	- BGH should offer: A\$8.20 for a Scheme, and A\$8.15 for an Off-Market takeover	BGH's blocking stake means CapVest's Scheme is unlikely to succeed, so shareholders will focus on A\$8.10 Off-Market offer price BGH is more likely to get a Scheme approved - If their scheme fails, Off-market comes into effect and VRT shareholders will still realise more value than from CapVest's proposal	- Risk of overpaying is heightened due to high premium to undisturbed, offer price increases driven by competitive tension Limited access to DD means BGH is not clear on all aspects of acquisition and VRT operations
	Funding	Fully funded offer	BGH must match CapVest with a fully funded offer	- BGH may have to accept less favourable debt terms to secure facilities in a short time frame - This
	Due Diligence	- Offer despite limited DD conducted - Ask for access as part of next stage Add in a break clause if BGH finds significant, materials issues in VDR	- VRT is not going to grant BGH further access to DD without receiving a significantly better offer - Adding a clause can protect BGH and is unlikely to be used given CapVest flagged no issues with DD	- VRT may not accept the DD clause - Significant, material findings made by BGH in the VDR could lead to costly break fees or forced transaction
	Commitment	BID and TID	BGH must increase commitment of next bid as it a key consideration by VRT	Submitting a BID and TID lock in above risks

Indicative Valuation Analysis

Assessing Virtus through several valuation methodologies has led to an implied value of A\$9.32 per share, driven by the multiples transacted in relevant Precedent Transactions

		CapVest Bid Implied Value		Weighting in Blended Valuation	
Market Valuation	Precedent Transactions		\$13.13		10%
	Trading Comparables	\$6.42		\$9.91	20%
Capacity to Pay	LBO	\$8.08		\$9.83	30%
Fundamental Valuation	DCF (Base)	\$8.12		\$9.61	40%
Market Valuation	52-week Trading Range	\$5.00		\$8.28	0%

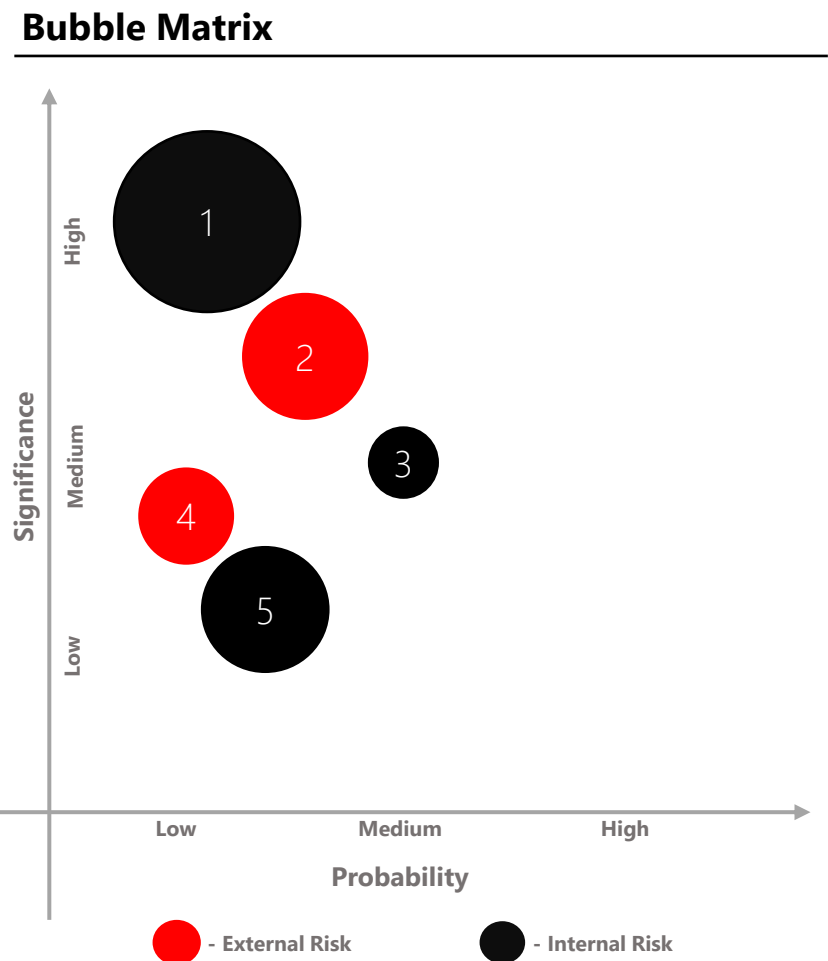
Potential Value Uplift Drivers

Multiple opportunities for BGH to extract value from acquiring Virtus

	Integration with Healius Primary Care	Expansion into New Segments and Markets	Strategic Acquisitions
Description	• Opportunity to integrate Virtus with Healius, which has 69 medical centers across Australia	• Opportunity to target the male ARS segment and whilst also expansion into such as WA/SA as well as Asian markets.	• Opportunity to acquire a smaller player in the ARS market to increase Virtus' market share.
Advantages	• Increase scale and presence in the Australian market to increase market share. • Establish a holistic offering for women's health by providing complementary services such as female GP's and female urology.	• Tap into the burgeoning Asian market and reduce reliance on the Australian sector • Access new sources of growth to diversify revenue streams	• Opportunity to immediately gain market share and
Considerations	• Significant costs involved with integration of two companies • Highly dependent on ability to execute	• Large investment required for expansion not typically associated with financial sponsor strategies	• Regulatory concerns surrounding competition may limit the potential for acquisitions

Key Risks

Virtus Health faces multiple internal and external risks, most notably; compliance risk, government funding risks and personnel risks



Investment Risks	Mitigations
1 Compliance Risks: ARS companies face stringent regulations, compliance requirements, and the need for substantial R&D investment due to technological advancements	Implement a comprehensive compliance program, conduct regular internal audits, and seek guidance from legal and compliance experts to mitigate compliance risks faced by your ARS company
2 Government Funding Risks: ARS is currently is being funded through a combination of government reimbursement schemes and out-of-pocket. If the government decides to change their focus on providing medical funding, patient demand would decrease	Diversify revenue streams, invest in R&D to help create lower future costs and proactively engage in advocacy efforts to influence and maintain government support for medical funding
3 Potential Competition: The ARS industry will likely see increased competition that may reduce Virtus' market share. The ACCC competition concerns regarding the Adora Fertility acquisition further indicate challenges for Virtus to achieve growth	Focus on enhancing its competitive advantages, innovating its services, building strong customer relationships, and pursuing strategic partnerships or acquisitions to strengthen its market position and drive growth
4 Future Crisis: During the COVID-19 pandemic, Virtus Health shutdown for a period in all countries except Singapore due to being considered non-urgent surgery. Similar future shocks could impact the business	Implement robust contingency plans, diversify service offerings, maintain cash reserves, and closely monitor regulations
5 Personnel Risks: During an acquisition, particularly in the case of a hostile takeover, the resignation of key management personnel may pose risks to Virtus Health's future and organizational culture	Implementing competitive stock and remuneration plans can help mitigate personnel risks during an acquisition, ensuring alignment, retention, and motivation of key management personnel

COVID-19 Impact on Operations

Despite facing temporary setbacks due to the impact of COVID-19, Virtus Health has demonstrated remarkable resilience and has now successfully rebounded, reaching unprecedented financial milestones

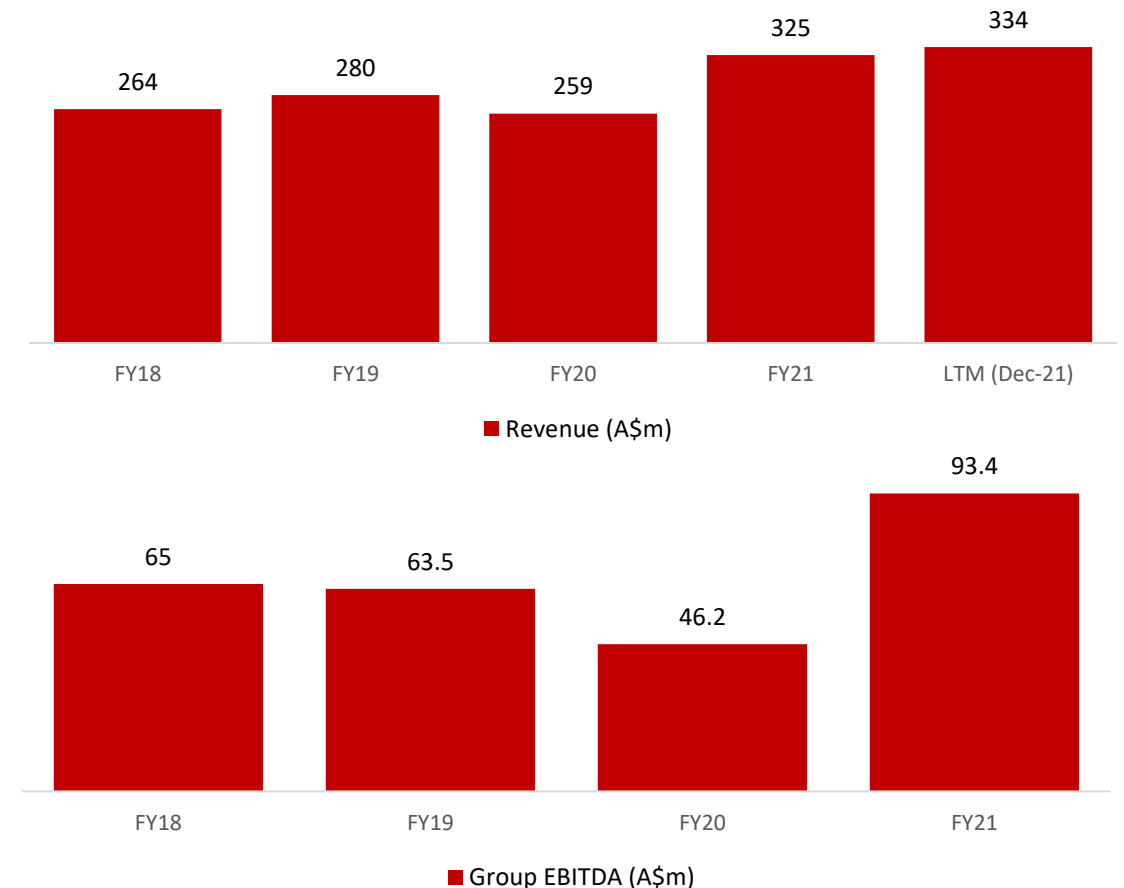
Short-Term Impact – FY20

- Being classified as 'non-urgent' surgery, operations temporarily ceased in all operating countries except Singapore and patient demand was negatively impacted with job security, income stability and health risk concerns.
- Virtus health revenue dropped by 7.5% with estimated loss of gross profit as a result of restrictions amounted to approximately \$14.6m.
- Government support programs provided \$7.7m to support Virtus Health's operations.
- Board deferred March dividend payment to the next financial year as well as did not pay a final dividend due to liquidity concerns.

Medium-Term Impact – FY21

- Achieved COVID-19 Controls KPI, with no Virtus facilities requiring to close. Virtus Health clinics returned to normal trading activity, surpassing previous year's patient activity, and the company is now recognised as one of the top five global providers of Assisted Reproductive Services.
- Overall, Virtus experienced significant growth, with revenue bouncing back by 25.3%, despite new fears of future strains.

Virtus Health Performance



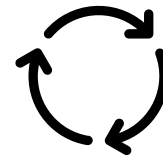
Recommendation and Next Steps

UBS recommends BGH submit a dual structure, A\$8.20 Scheme and A\$8.15 Off-Market Takeover for Virtus, followed by contacting other key shareholders to convince them of the offers superior value



Contact Other Key Shareholders About Upcoming Votes

- Convince other shareholders that BGH's offer provides more value by outlining the potential tax implications associated with a return of capital
- Gauge shareholder support regarding their preferred acquisition method (Scheme Vs Off-Market) to determine the likelihood of success of the CapVest scheme



Prepare Action Plan for a CapVest Counteroffer

- Analyse CapVest's best response to our offer, and if they have the capacity to submit an improved offer.
- Identify and prepare for likely clauses that CapVest might introduce to improve their deal
- Begin analysis on future bid strategy in the case CapVest submits a counteroffer

Appendix

- I. Main Slides
- II. Company and Industry Overview
- III. Potential Issues
- IV. Supplementary Valuation Analysis



Assessing the offers – Key Other Factors

Approvals Required and Virtus' Current Response to CapVest's Offer Must Be Factored Into BGH's Next Bid

Element	BGH - 10 th Mar 22	CapVest - 14 th Mar 22	Commentary
Other Approvals	- Applied for NON from FIRB, expects to receive soon - Recent appeal to AGTP on 4th May was unsuccessful - Wanted auction process - Unhappy with head start given to CapVest on DD - Requested standstill until 20 business days after VRT grants access to entire VDR - Final approved required from BGH's Investment Committee	Applied for NON from FIRB	- BGH's FIRB application is further progressed, unlikely to swing deal - AGTP appeal rejection puts significant pressure on BGH, particularly the DD disadvantage being cemented - No longer an option to stall / change CapVest's deal structure & terms - Appealing to AGTP can be seen as invalidating decisions made by VRT board, may decrease chance of friendly scheme - BGH's Investment Committee needs to confirm soonest meeting date
Current Virtus Response	- VRT resolved to engage with BGH to determine whether NBIO could become binding - After receiving CapVest's offer and signing TID, VRT board has decided not engage further or provide DD access to BGH	VRT Board unanimously recommended the Binding CapVest Transaction in the absence of a Superior Proposal and subject	- VRT is still willing to engage with BGH, but must receive a superior offer - VRT announced superior offer(s) will need to show improvements to: funding, binding, reduced conditions, expedited timeframe - BGH is now in a vulnerable position as they must play catch up to CapVest and tabling a new bid comes with risks around DD

Shareholder Register

There is Significant Uncertainty that the CapVest Scheme Will Meet the Required Approval Thresholds.

Shareholder Register – Substantial Shareholders

Holder	Shares Held (m)	Shares Held (%)
BGH Capital	17.1	19.99%
Paradise Investment Management	8.4	9.76%
Yarra Capital Management	5.4	6.37%
Mitsubishi UFJ Financial	4.3	5.01%
Dimensional Fund Advisors	4.3	5.00%
Total – Substantial Shareholders	39.5	46.13%

Given BGH's 19.99% stake and recognising that voter turnout at scheme meetings is often substantially lower than 100%, there is significant uncertainty that the CapVest Scheme will meet the required approval thresholds. It is worth noting that at Virtus' most recent Annual General Meeting held on 18 November 2021, an average of less than 60% of votes were cast on each resolution.

Commentary

- Under a scheme of arrangement, any offer will require more than 50% of Virtus shareholders present and voting and at least 75% of votes to be cast in favour of the offer for it to be approved
- BGH holds 19.99% of shares, and will be voting against the scheme. Just 5.01% of remaining shares are required to achieve the 25% needed to block the scheme.
- UBS advises the Board devise an action plan to work with substantial shareholders to vote against the scheme.

Potential Interlopers

Although the Likelihood is Low, Other Potential Acquirers of Virtus Health are Listed Below

Financial Sponsor	AUM	Rationale	Potential
	AUD\$10bn	- Have an interest in healthcare companies, with their Fund VI consisting of two healthcare companies, Health e Care (acquired Sept 21 for ~\$300m) and citadel health (acquired Dec 20 for \$503m) - Acquired Evolution Healthcare for ~\$300m in March 2019 (exited in 2021 for ~\$750m) and LifeHealthcare for \$211m in May 2018 (exited in Dec 2021 for \$1.17bn)	
	AUD\$3,6bn	- Acquired Virtus Health in 2008 for undisclosed amount and exited in 2013 with an \$339m IPO. - Have an interest in healthcare companies, with their Fund no.4 consisting of ICON Cancer Care (acquired major stake in May 2014) and Enrich Health Group (acquired in June 2016) and have owned other healthcare companies such as Estia Health (acquired in Dec 2010 for \$750m and exited in 2016).	
Brookfield	USD\$800bn	Acquired Healthscope for \$4.4bn in 2019, outbidding BGH Capital in a buyout proposal for the business	
Strategic Buyers	Mkt Cap	Rationale	Potential
	AUD\$16.1bn	- Paired with Healius to acquire Agilex Biolabs, for \$301.3 million in 2021. - Virtus Health attempted to purchase Adora Fertility from Healius but stopped due to competition concerns by ACCC.	
	AUD\$14bn	COO of Ramsay became CEO of Virtus Health in 2020. They have acquired 15 companies in the past, acquiring Elysium recently.	

DCF Valuation of Virtus

DCF Analysis Suggests Virtus has an Implied Equity Value of \$8.86 Per Share on Base Case Assumptions

Free Cash Flow Build Up

		Jun-22	Jun-23	Jun-24	Jun-25	Jun-26	Jun-27	Jun-28	Jun-29	Jun-30	Jun-31	Jun-32
NOPAT	A\$	44,928,322	48,838,826	53,071,486	57,647,944	62,591,322	67,926,319	73,679,326	79,878,539	86,554,084	93,738,153	101,465,141
D&A	A\$	(24,086,000)	(24,086,000)	(24,086,000)	(24,086,000)	(24,086,000)	(24,086,000)	(24,086,000)	(24,086,000)	(24,086,000)	(24,086,000)	(24,086,000)
Change in NWC	A\$	5,997,794	(1,283,712)	(1,368,007)	(1,457,983)	(1,554,031)	(1,656,566)	(1,766,031)	(1,882,902)	(2,007,688)	(2,140,931)	(2,283,211)
Unlevered CFO	A\$	26,840,115	23,469,114	27,617,479	32,103,961	36,951,291	42,183,753	47,827,295	53,909,637	60,460,396	67,511,222	75,095,929
Capital expenditures	A\$	5,997,794	(1,283,712)	(1,368,007)	(1,457,983)	(1,554,031)	(1,656,566)	(1,766,031)	(1,882,902)	(2,007,688)	(2,140,931)	(2,283,211)
Principle lease payments	A\$											
Unlevered FCF	A\$	32,837,909	22,185,402	26,249,473	30,645,978	35,397,259	40,527,188	46,061,264	52,026,734	58,452,708	65,370,291	72,812,718

Implied Share Price (A\$)

		TWACC				
Terminal Growth Rate	\$ 8.12	6.41%	7.41%	8.41%	9.41%	10.41%
	3.00%	10.31	9.43	8.64	7.91	7.25
	2.75%	9.99	9.14	8.37	7.67	7.03
	2.50%	9.69	8.86	8.12	7.44	6.82
	2.25%	9.41	8.61	7.89	7.23	6.63
	2.00%	9.15	8.37	7.67	7.03	6.45

		TWACC				
EBITDA Exit Multiple	\$ 9.61	6.41%	7.41%	8.41%	9.41%	10.41%
	10.1x	13.68	12.50	11.43	10.46	9.58
	9.1x	12.58	11.50	10.52	9.63	8.82
	8.1x	11.48	10.50	9.61	8.80	8.06
	7.1x	10.38	9.50	8.69	7.96	7.30
	6.1x	9.28	8.49	7.78	7.13	6.54

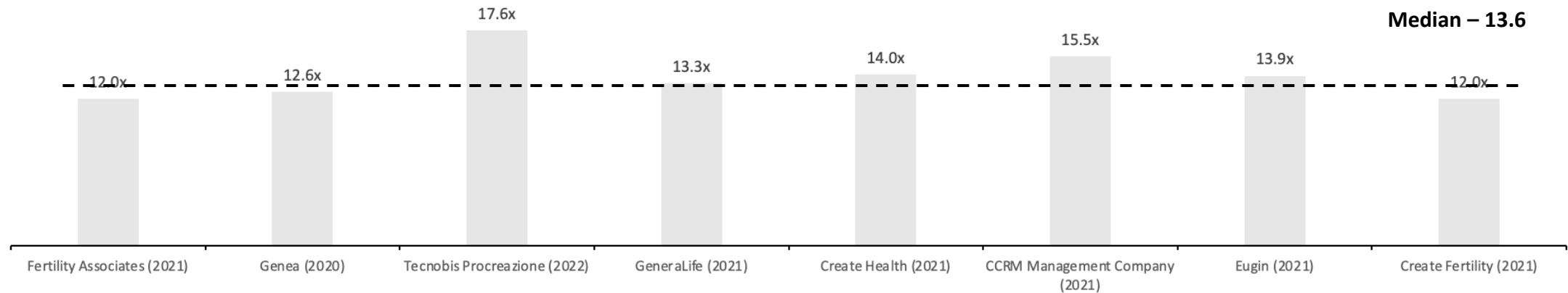
Valuation Summary

\$m	Perpetuity Method	EBITDA Multiple Method
PV of UFCF	272.2	272.2
PV of Terminal Value	511.7	641.7
Enterprise Value	783.9	913.9
Less: Net Debt / (Cash)	75.9	75.9
Equity Value	708.0	838.0
Shares Outstanding	87.2	87.2
Implied Value per Share	8.12	9.61

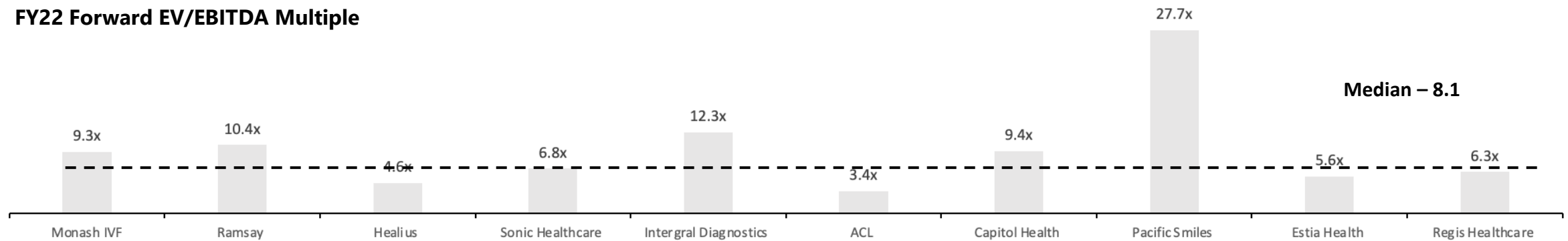
Trading and Transaction Multiples

Summarised Below are Precedent Transaction Multiples and a FY21 Forward EBITDA Multiple Summary for Comparable Companies

Precedent Transaction - EV/EBITDA Multiple



FY22 Forward EV/EBITDA Multiple



LBO Analysis – BGH's Capacity to Pay

LBO analysis suggests a PE fund such as BGH could pay between A\$8.08 and A\$9.83 reflecting 16.2-26.3% IRR showing a greater capacity to pay beyond the current proposals

Assumptions

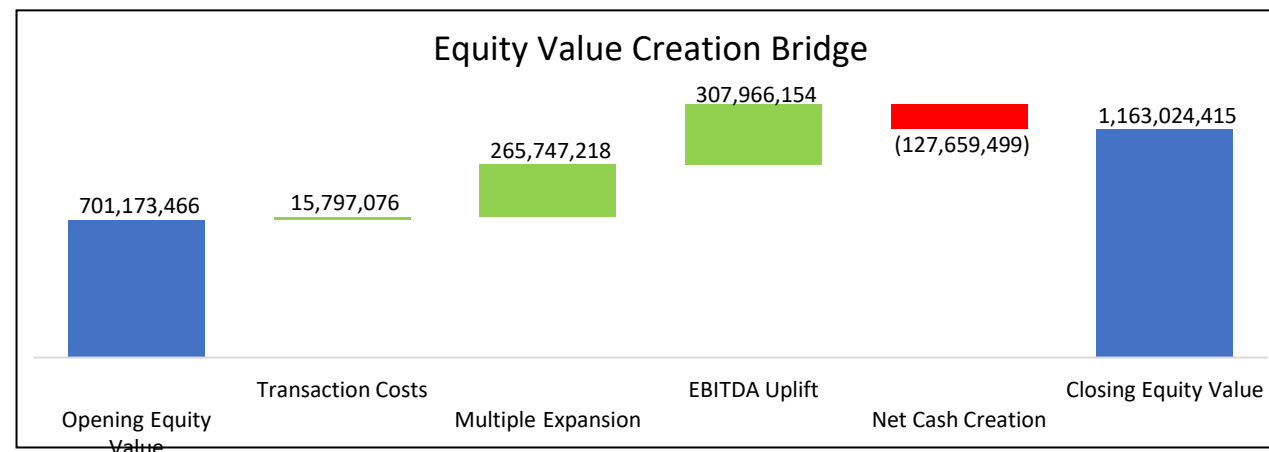
- Illustrative acquisition of Virtus for **A\$8.04**
- Illustrative transaction and financing assumptions:
 - Assumes transaction date of June 2022
 - Indicative leverage of **4.0x** FY22 EBITDA at a cost of rf rate at Mar-22 + 600bps all in
 - Hold period of 5 years
 - Entry multiple of **8.1x** LTM EBITDA
 - Exit multiple of **10x** LTM EBITDA

Exit Multiple Sensitivity

	% Debt Finance at Acquisition					
	21.7%	70%	75%	80%	85%	90%
Exit Multiple						
12.0x	23.7%	24.4%	25.0%	25.6%	26.3%	
11.0x	22.0%	22.7%	23.4%	24.0%	24.7%	
10.0x	20.2%	20.9%	21.7%	22.4%	23.0%	
9.0x	18.3%	19.1%	19.8%	20.6%	21.3%	
8.0x	16.2%	17.1%	17.9%	18.7%	19.4%	

Sources & Uses (A\$m)

Sources			Uses		
Sponsor equity	A\$	92,875,393	Equity purchase price	A\$	701,173,466
Acquisition debt	A\$	631,883,054	Refinance debt	A\$	75,872,000
Cash on balance sheet	A\$	69,601,535	Financing Fees	A\$	1,517,440
			Transaction Costs	A\$	15,797,076
Total	A\$	794,359,982	Total	A\$	794,359,982



Virtus Health

Virtus Health is a global leader in Assisted Reproductive Services with a presence across multiple countries

Company Overview

- Virtus Health (ASX: VRT) started in 2002 through a combination of key state fertility groups and has expanded to be one of the top five global providers of Assisted Reproductive Services in 2021
- Virtus operates 44 fertility clinics, 54 laboratories, 10 diagnostic centers and 7- day hospitals in Australia, Ireland, Denmark, UK and Singapore, with a majority holding in Australia
- After being acquired by Quadrant Private Equity in 2008, Virtus Health went public through an IPO in June 2013

Share Price Performance (A\$) – Last 3 Years

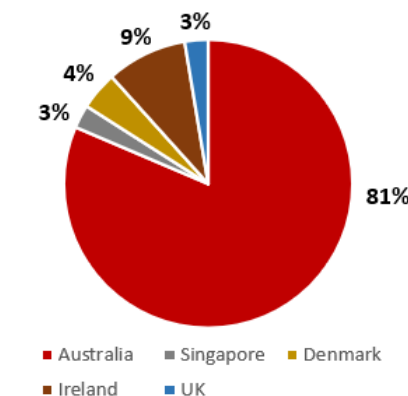


Key Metrics

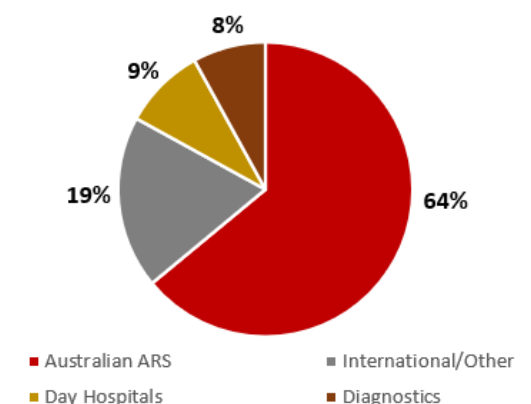
Market Capitalisation	\$444.2m	Enterprise Value	\$520.2m
FY21 EV / Revenue	1.60x	FY21 EV / EBITDA	5.57x
FY21 EV / EBIT	7.51x	FY21 P/E	12.41x

Revenue Breakdown – 1H22A

Revenue by Country



Revenue by Segment



ARS Industry in Australia

The ARS industry increased by 7.1% CAGR from 2000 to 2021 and is dominated by 3 major operators.

Industry Overview

- In 2021, there were ~100 ARS clinics across Australia; with Virtus Health and Monash IVF dominating ~55% of market share combined.
- The Australian ARS industry is tightly regulated and consists of **separate state-based legislations**, as well as a requirement to engage in **substantial R&D investment**.
- Strong advancements in detecting and treating infertility have **raised global awareness** of ARS.
- There are three different ARS treatment available including:
 - *In-vitro fertilization (IVF)*: Fertilization outside the body in a lab, followed by embryo transfer to the uterus.
 - *Intracytoplasmic sperm injection (ICSI)*: Direct injection of a sperm into an egg to aid fertilization.
 - *Frozen Embryo Transfer (FET)*: Transfer of previously frozen embryos to the uterus to increase chances of pregnancy.

Comparison of Major ARS Operators

	Virtus	Monash IVF	Genea
Market Capitalisation (Dec 21)	444.2m	366.3m	n.a.
Service Revenue (FY21)	324.6m	183.6m	93.7m
Market Share	39.5%	25.3%	12.6%
ART Clinics	44	27	12
Fertility Specialists	128	105	38
Service Revenue CAGR(FY19 to FY21)	7.7%	9.9%	0.5%
EBITDA Margin (FY21)	25.9%	26.0%	13.1%
Cycles	23,994	10,815	8,864
Revenue per cycle (AUD)	13,528	16,977	10,567
% International Revenue (FY21)	20.1%	5.8%	12.4%

